

Unit 7

Risk Management

Unit 7: Risk Management

What is Risk?

Risk and Human Bias

Risk Management

Social Security

Risk Pooling

Life Insurance

Life Insurance Tips

Estate Planning

Wills, choices and tips

Enduring Power of Attorney

Property Insurance

Motor Vehicle Insurance

Health Insurance

Travel Insurance

General Advice Warning

The content of this Unit is not personal financial advice for you

It covers general principles

... taught as part of university course based on the Australian system.

It does not take into account your situation, objectives or needs.

You are responsible to consider whether it is suitable

... for your personal circumstances.

You should consider obtaining financial and tax advice yourself.

Discussion

What are the main 'risks' that you are currently worried about?

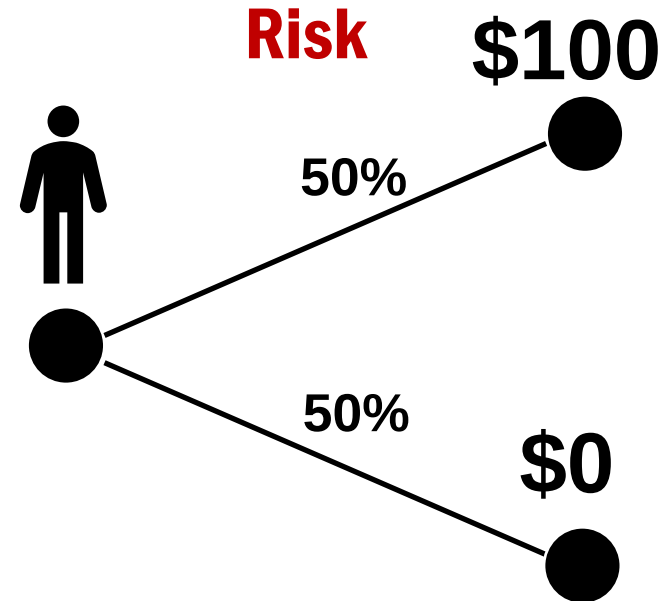
Study, employment, environment, world, financial, property, relationships

What do you think will be the main risks that you will worry about over the next 20 years?

What is Risk?

Risk = Uncertainty

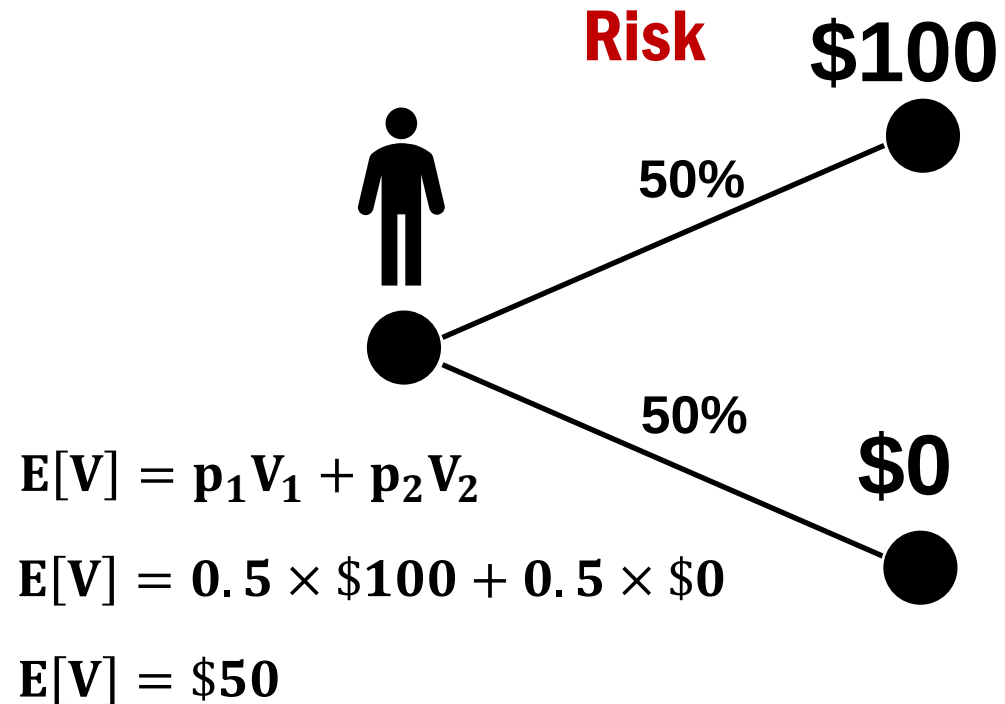
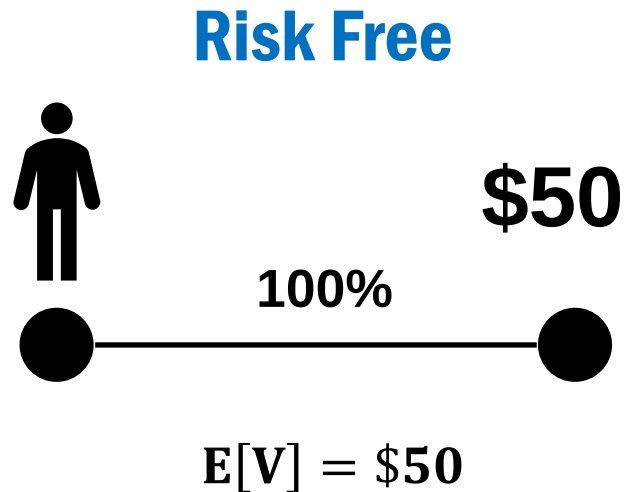
There is risk whenever the outcome is uncertain
... the higher the uncertainty, the higher the risk.



Expected Value

The average value after an infinite number of repeats

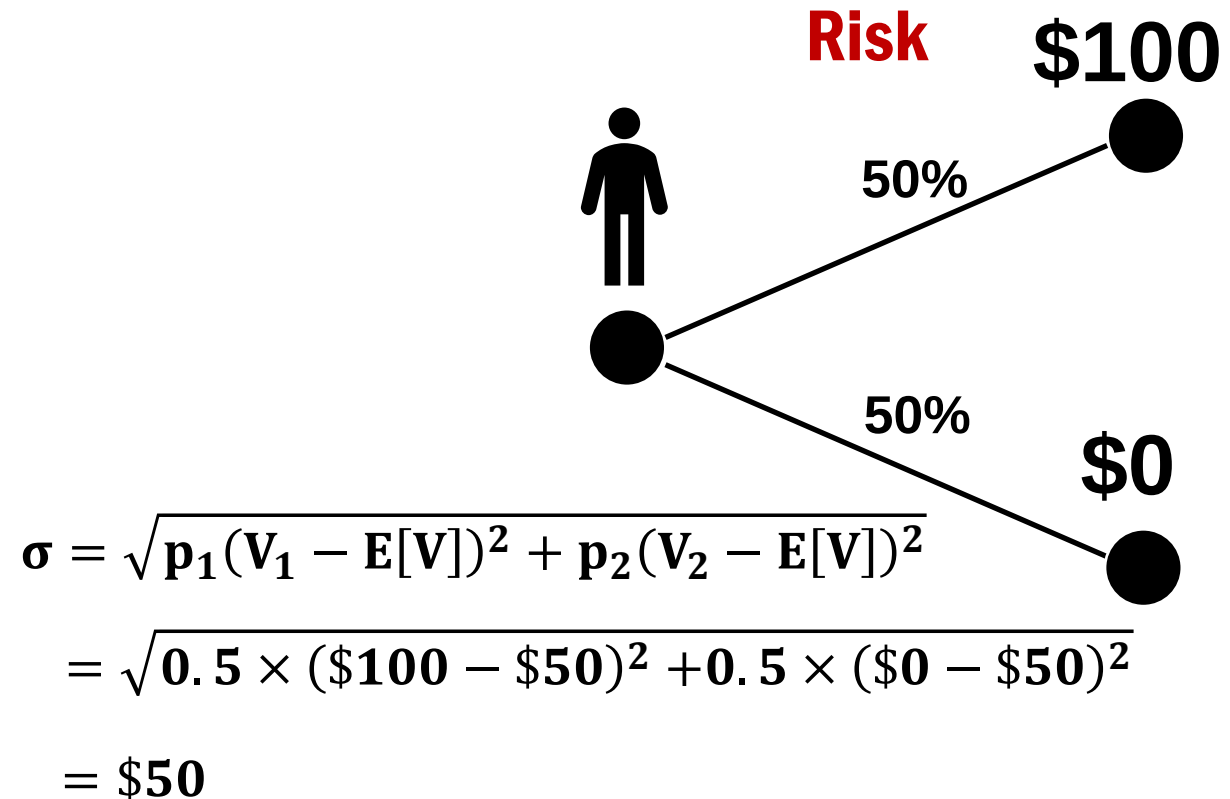
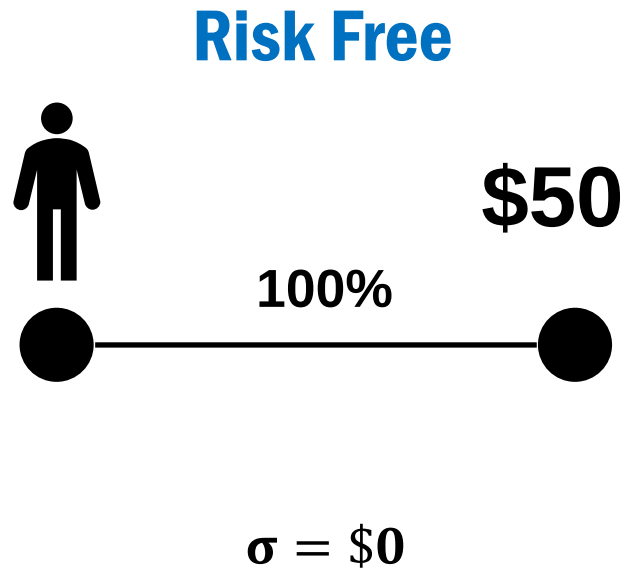
... the probability weighted average.



$E[]$ is called the 'Expectations Operator' in mathematics. It takes a random variable (one that involves probability) and gives you its average value.

Risk

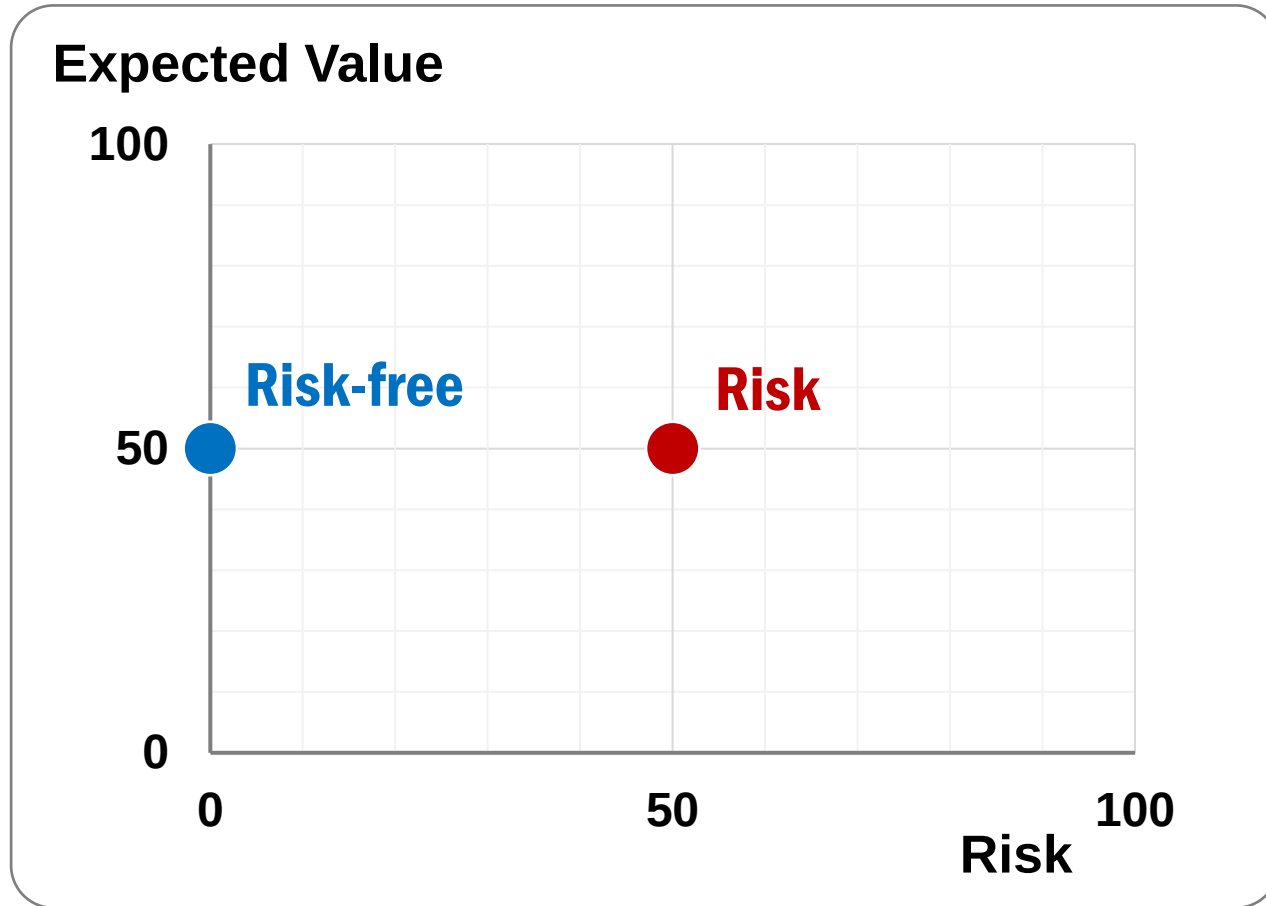
Risk is determined by the possible outcomes and their probabilities



σ is the Greek letter 'sigma' and is used in statistics for the standard deviation (spread) of outcomes.

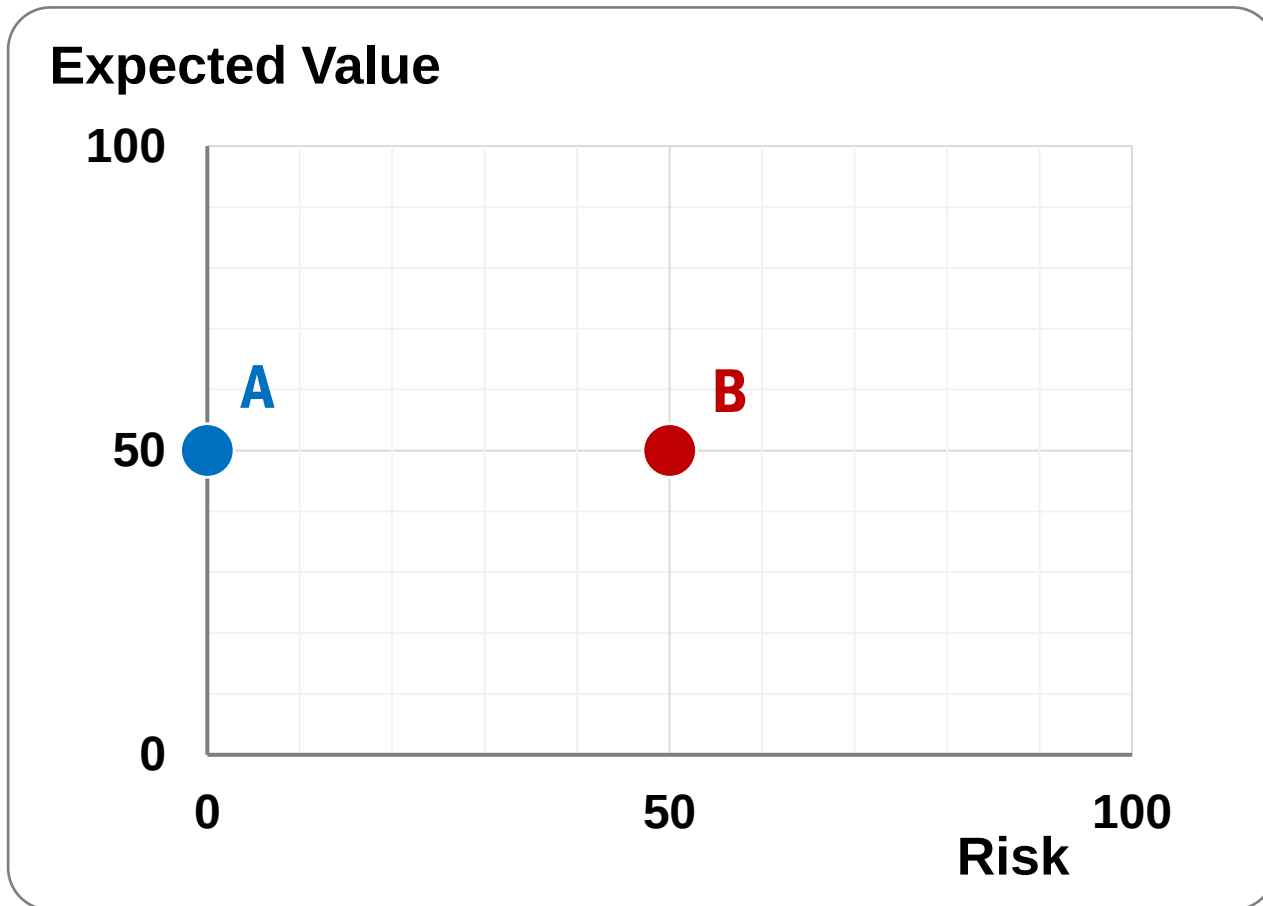
Expected value and risk visualised

We can visualise expected value and risk in two-dimensional space



Risk-aversion

Not willing to take risk unless there is an adequate reward for doing so



Risk-averse

A is preferred to B

Risk-neutral

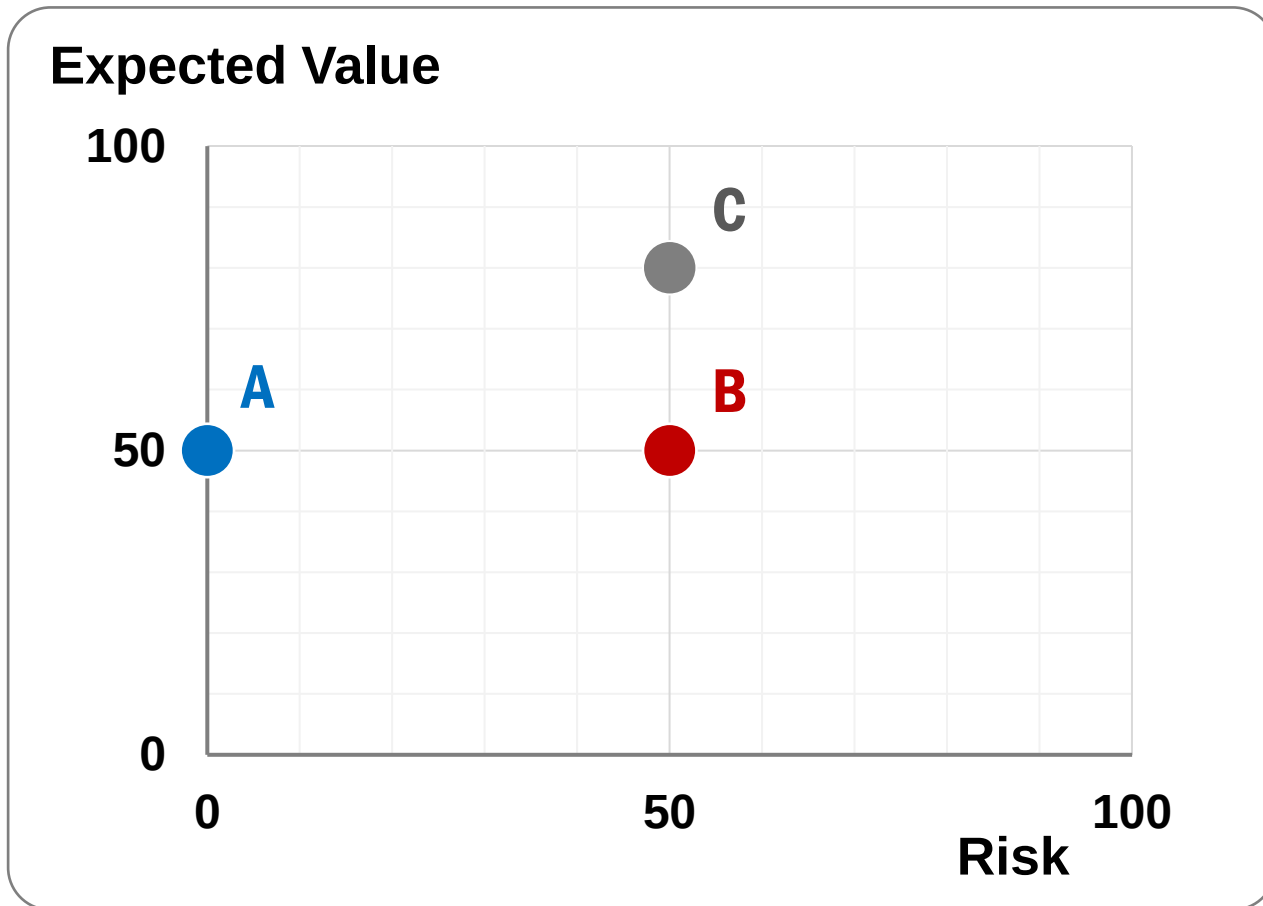
No preference between A and B

Risk-seeking

B is preferred to A

Risk-aversion

Risk-averse people could prefer either A or C to B



A is preferred to B

Lower risk for same expected value

C is preferred to B

Higher expected value for same risk

No clear preference for A or C

Lower risk-aversion may prefer C

Higher risk-aversion may prefer A

Risk-aversion is 'rational'

Why would you take on risk if there is no expected reward?

Risk-aversion is in our genes

Risk-aversion has evolutionary benefits

... and is widely observed across most species.

Rose McDermott, James Fowler and Oleg Smirnov (2008). 'On the Evolutionary Origin of Prospect Theory Preferences', *The Journal of Politics*.

Moshe Levy (2015), 'An evolutionary explanation for risk aversion', *Journal off Economic Psychology*.

Margo Bergman (2004), 'Examining risk attitudes' *Complexity*

Ruixun Zhang, Thomas Brennan and Andrew Lo (2014), 'The origin of risk aversion' *Proceedings of the National Academy of Sciences of the USA*

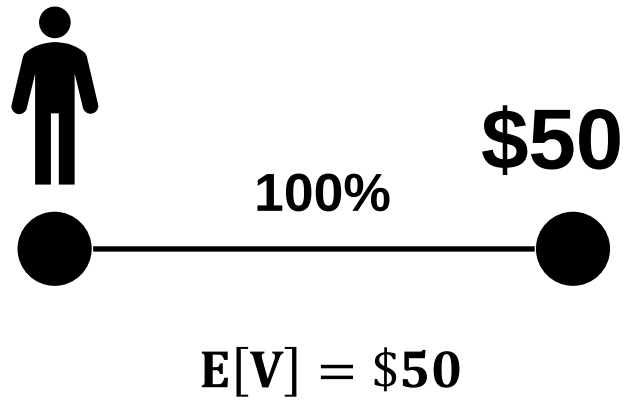
Except for dodos ...

... but then again, they are extinct now!

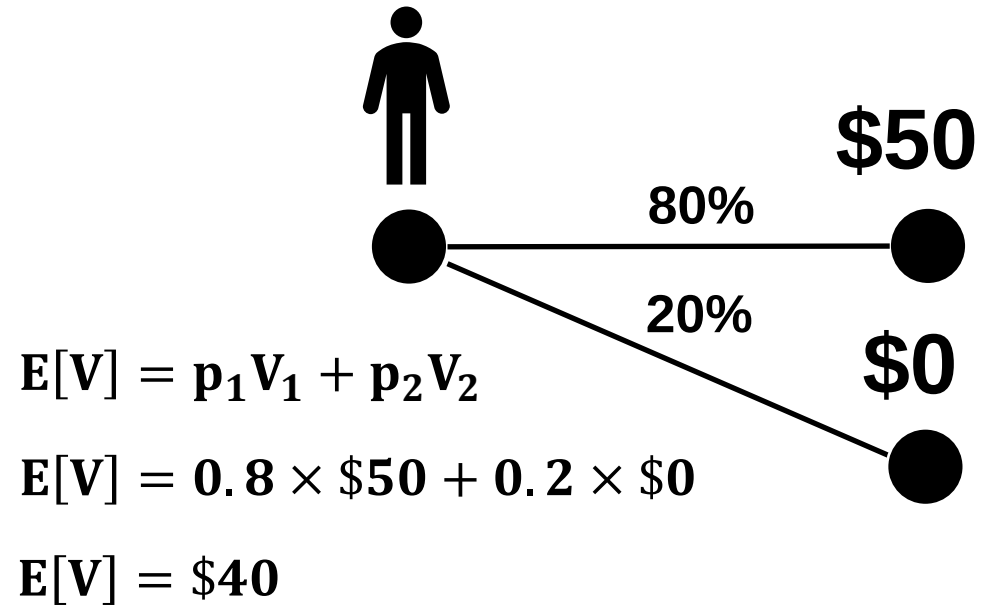
Pure Risk

A special type of risk in which there is no upside ... and only downside!

Risk Free



Pure Risk

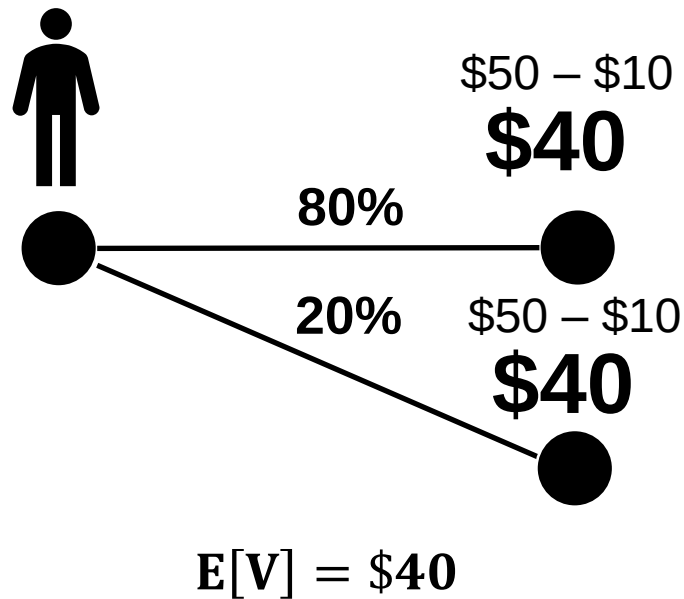


Fair Premium

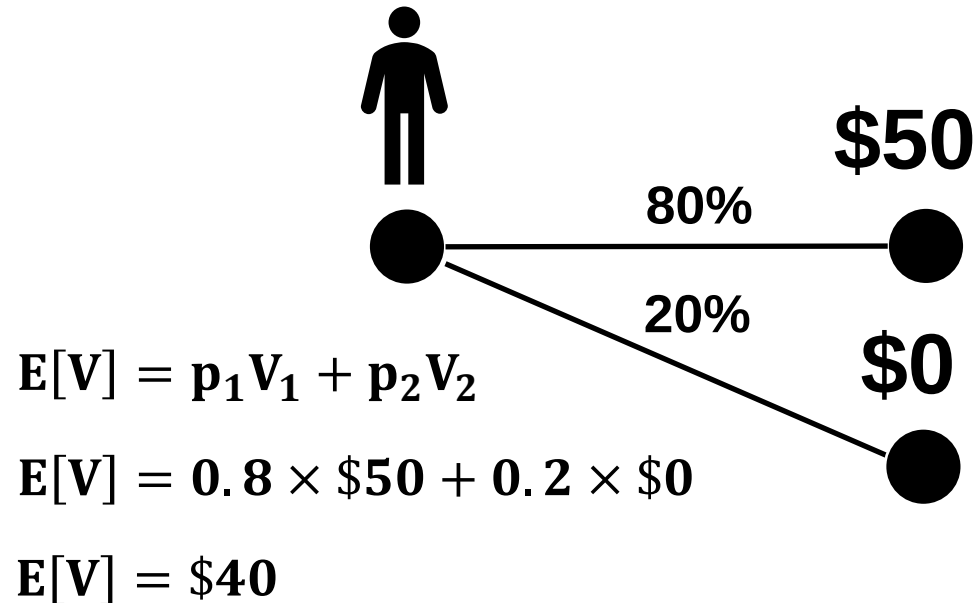
The amount a risk-neutral person would pay to eliminate risk

A risk-neutral person would be indifferent between these two situations

Risk Free



Pure Risk



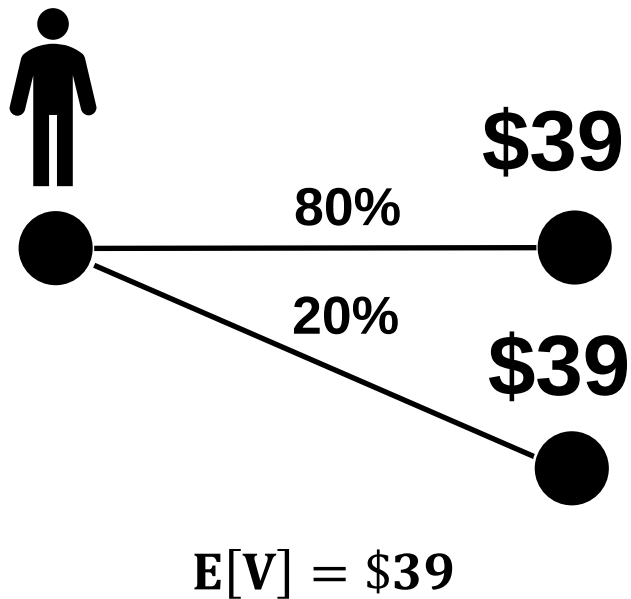
The fair premium to insure yourself against the pure risk would be \$10

Fair Premium and Risk-Aversion

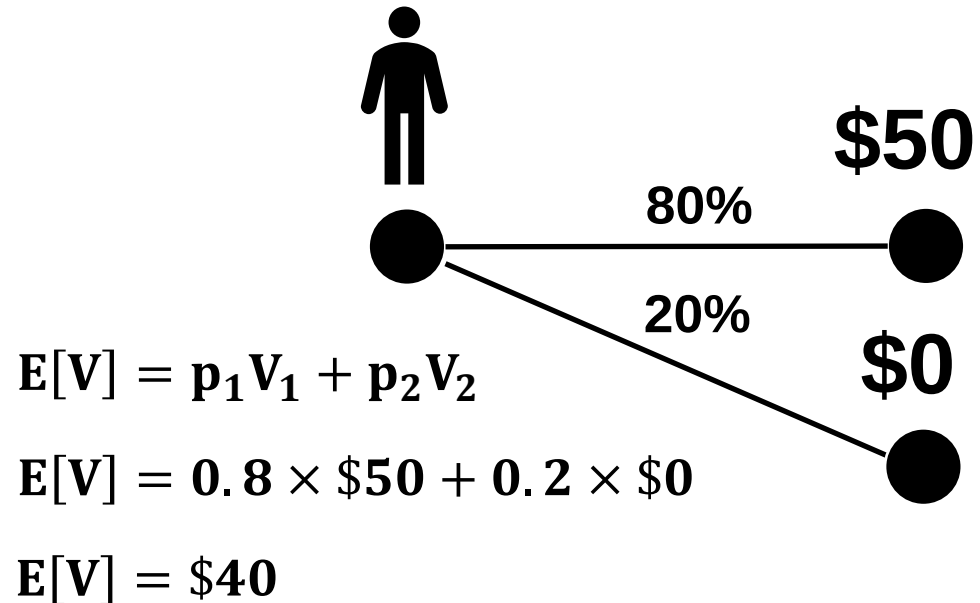
A risk-averse person prefers no risk to having risk (assuming same $E[V]$)

... they are willing to pay more than the fair premium to remove risk!

Risk Free



Pure Risk



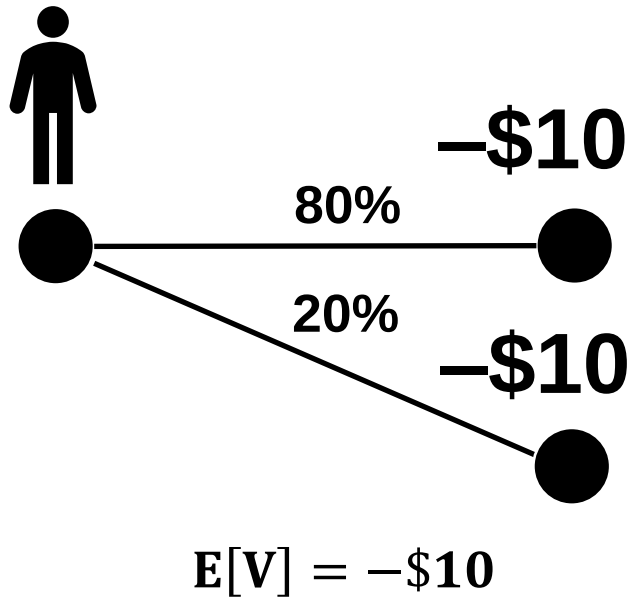
A risk-averse person is willing to pay more than the fair premium of \$10

Fair Premium an easier way to calculate

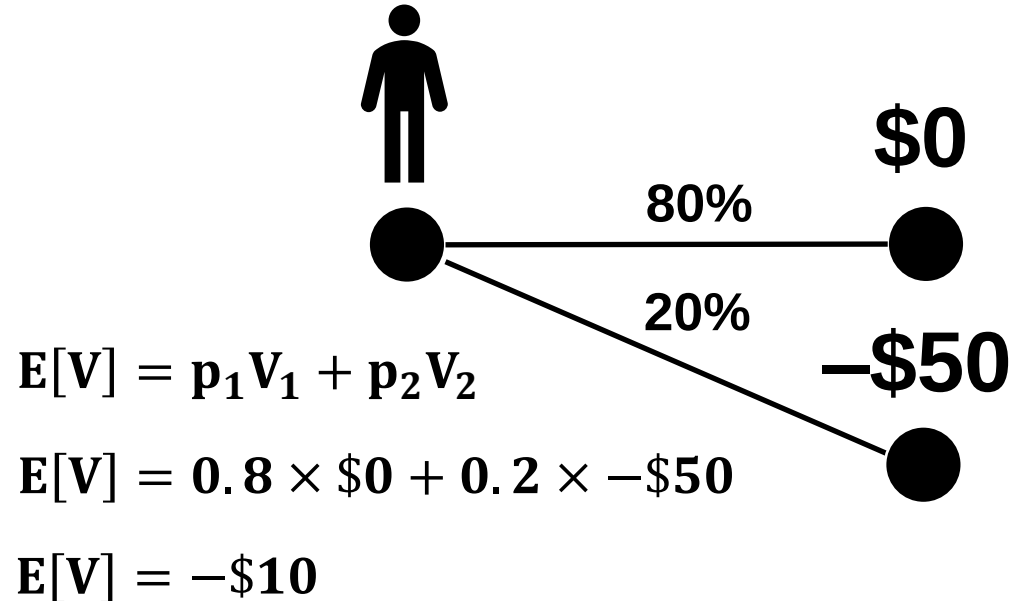
An easier way to calculate the fair premium is to just focus on 'loss'

It is the probability of loss multiplied by the amount of the loss

Risk Free



Pure Risk



A risk-averse person is willing to pay more than the fair premium of \$10

The logic of insurance

A person who is risk-averse (rational)

... should remove pure risk (downside risk)

... by paying a regular premium

... as long as that premium is 'reasonable'

Some fancy terms

Asymmetric information

The person being insured and the insurance company have different information

The person being insured does not want to pass on negative information about themselves

This can make it hard for the insurance company to determine an appropriate premium

Adverse selection

All the 'low-risk' people are not willing to pay the insurance premium

Only the 'high-risk' people are willing to pay the insurance premium

Providing insurance in this case may not be possible (market failure)

Moral hazard

Someone who has taken out insurance transfers risk to the insurance company

They may have little or no incentive to mitigate or avoid the risk (bad behaviour)

Insurance provider may need to monitor or provide incentives to encourage good behaviour

Risk and Human Bias

Human bias and risk-management

Risk perception biased by dread, newness, stigma and other factors

Risk affected by emotional state of perceiver

Positive emotions lead to optimistic risk perceptions

Negative emotions lead to pessimistic view of risk

People underestimate the probability of low-probability high-impact events

People show risk-seeking behaviour when facing certain losses

They are willing to take irrational risks to avoid the prospect of a certain loss

Amos Tversky and Daniel Kahneman (1974), 'Judgement under uncertainty', *Science*

Bodenhausen (1993) 'Chapter 2: Emotions, arousal, and stereotypical judgements: A heuristic model of affect and stereotyping', *Affect, Cognition and Stereotyping* and Jennifer Lerner and Dacher Keltner (2010) 'Beyond valence: Toward a model of emotion-specific influences on judgement and choice', *Cognition and Emotion*

Daniel Kahneman and Amos Tversky (1979), 'Prospect theory: An analysis of decision under risk', *Econometrica*

People are risk-averse with gains

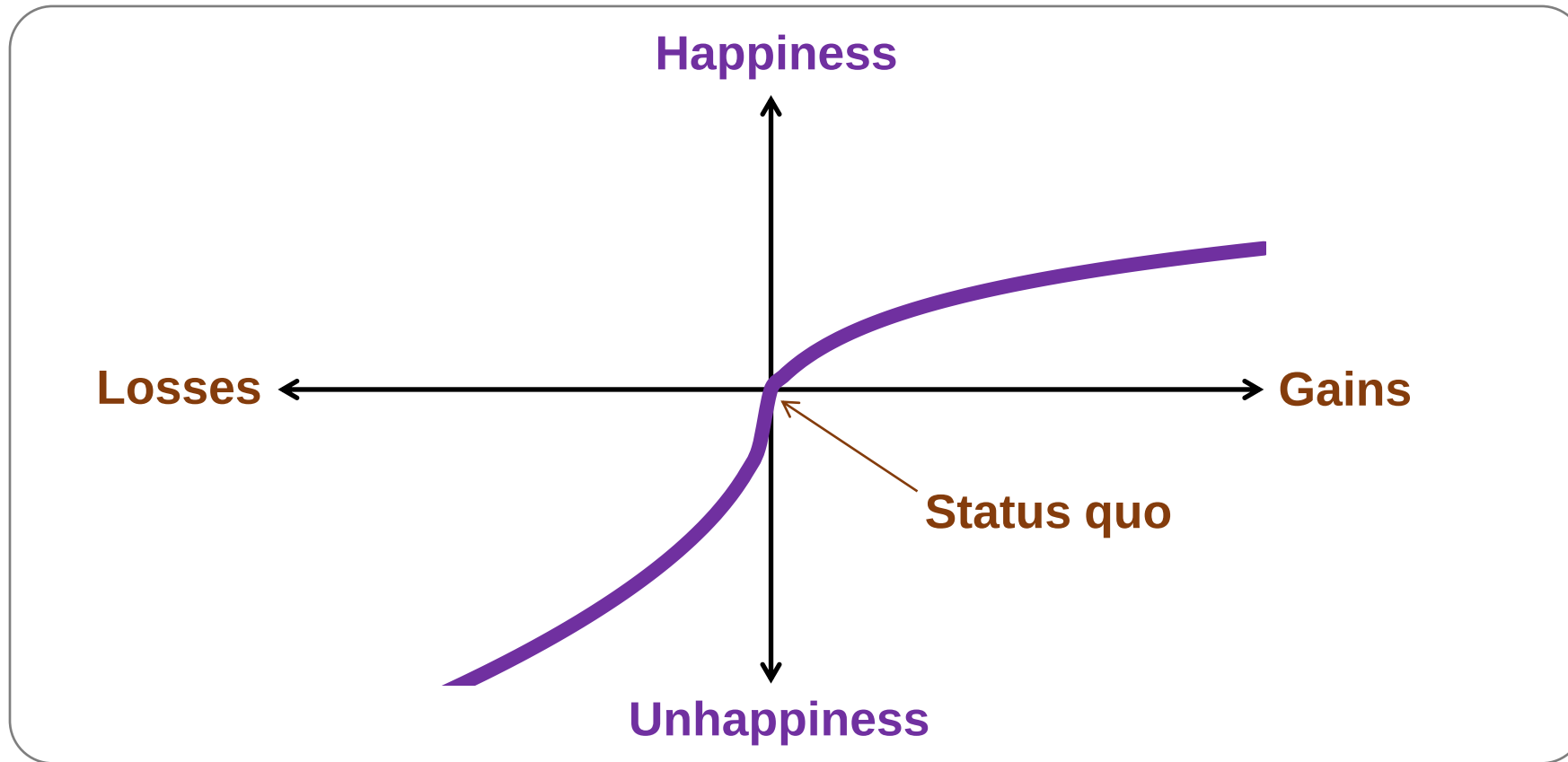
\$24,000 (100%)	\$100,000 (25%)
	\$0 (75%)

... but risk-seeking with losses

-\$75,000 (100%)	-\$100,000 (75%)
	\$0 (25%)

Prospect Theory

Risk-averse with gains (rational) and risk-seeking with losses (irrational)



Daniel Kahneman and Amos Tversky (1979), 'Prospect theory: An analysis of decision under risk', *Econometrica*
Daniel Kahneman was awarded the Nobel Prize in Economics in 2002 (Amos died in 1996 unfortunately)

Responses to an outbreak of COVID-19

Hard shutdown
–\$5 billion (100%)

Soft measures
–\$1 billion (25%)
–\$10 billion (75%)

Human beings are like this with risk and loss

What is Risk Management?

Most people have problems with risk

Thinking about bad things happening creates an emotional response.

Planning contingencies for these bad events is difficult.

And when the bad event occurs

... it's easy to just freeze up!

The COVID-19 pandemic highlighted this

Visualising risk probability and impact

Probability	Impact				
	Trivial	Minor	Moderate	Major	Extreme
	Rare	Low	Low	Low	Medium
	Unlikely	Low	Low	Medium	Medium
	Moderate	Low	Medium	Medium	High
	Likely	Medium	Medium	Medium	High
	Almost certain	Medium	Medium	High	High

The Meat

MEAT the Risk-Management Alternatives

1. Mitigate the risk

Take steps to reduce the probability and/or impact of the bad outcome

2. Eliminate the risk

Remove yourself from the risky situation completely

3. Accept the risk

Set aside some funds (financial slack) to effectively 'self-insure'

4. Transfer the risk ... by paying the premium

Buy insurance, transfer or share the risk with a third-party

Risk Management Steps

1. Identify risks

What can go wrong with each component of your financial and investment strategy?

What can go wrong with your career strategy or health?

2. Visualise and document the risk

Visualise in detail how the risk could 'play out' and document it.

Are there links between different risks that could cause a cascade?

3. Evaluate the risk

What is the likelihood (probability) and impact (severity) of each risk?

4. Identify how to MEAT the challenge of each risk

Mitigate, eliminate, accept or transfer the risk

5. Take action now and then monitor

Many people do not manage risks well

They don't spend time identifying and planning for risks

They do not maintain a cash buffer or financial slack

They fail to take steps to look after physical and mental health

They fail to continuously train to keep employment skills up-to-date

They are too inflexible after losing a job

They maintain too high operating leverage (too many fixed costs)

They don't adequately diversify

They don't get ahead on their home loan payments

They are too financially leveraged (too much debt and interest expenses)

A compassionate society builds safety nets

Sometimes people are in a position of disadvantage (at no fault)

... and sometimes people just 'stuff up'

A compassionate society builds protections to avoid absolute poverty.

Absolute poverty creates 'poverty traps' that are hard to leave

... and can be intergenerational.

That is why social security and universal health care are so important

... even though it can create 'moral hazard' (take less care to manage risk)

Social Security

Provides a safety net ...

... and puts 'rungs' back in the ladder

A 'rung' is just the crossbar of a ladder that you hold onto. A ladder with 'missing rungs' is very difficult to climb!

Social Security

- 1. Age Pension**
- 2. Disability Support Pension**
- 3. JobSeeker Payment**
- 4. Youth Allowance**
- 5. Austudy**
- 6. ABSTUDY**
- 7. Subsidised Student Loans**

HECS-HELP and FEE-HELP for students who are Australian residents

1. Age Pension

Income support for vulnerable aged 66 or older

Aged 67 or above for those born from 1 Jan 1957 onwards (from 1 July 2023 onwards)

There is both an 'asset' and 'income' test

The value of your main dwelling is exempt from the asset test

There are limits on 'gifting' assets to others

There is 'deemed income' rates on investment income

Receiving even \$1 dollar entitles you to Pensioner Concession Card

Cheaper health care, medicines and other services

Services Australia (2021) 'Age Pension' at servicesaustralia.gov.au

Services Australia (2021) 'Assets Test' at servicesaustralia.gov.au

Services Australia (2021) 'Income test for pensions' at servicesaustralia.gov.au

2. Disability Support Pension

**Income support if you have a permanent physical, intellectual
... or psychiatric condition that stops you from working**

Non-medical rules

Between 16 and Age Pension age when you claim and are a resident
Satisfy income and assets test

Medical rules

Manifest medical rules: Blind, nursing home level care, terminally ill ... OR
General medical rules: Condition last for 2+ years with 20+points of impairment ...

3. JobSeeker Payment

Financial help for residents between 22 and Age Pension age

... and actively looking for work

... or sick or injured and cannot do your usual work/study for a short time

Subject to an income and asset test

The income test includes both your own income and income of partner

The asset test excludes your home but is different for homeowners

The payment depends on single, partnered and/or dependent children

4. Youth Allowance

**Financial help if you're 24 or younger and a full-time student or apprentice
... or 21 or younger and looking for work**

If dependent on parents: income and assets test for you and parents

If independent: income and assets for you only

You support yourself through work (full-time for at least 18 months in 2 year period)

You are married or in registered relationship (or de facto for 12 months)

You have a dependent child

Are assessed to be unable to work over 30 hours a week

Are a refugee and your parents don't live in Australia

Are in a situation where it's unreasonable to live at home

... or have parents who can't take care of you

5. Austudy

Financial help if you're 25 or older and a full-time student or apprentice

Subject to income and asset test limits

6. ABSTUDY

Payments for Aboriginal and Torres Strait Islander full-time students

ABSTUDY Living Allowance

ABSTUDY Incidentals Allowance

ABSTUDY Fares Allowance

7. Higher Education Loan Program (HELP)

HECS-HELP loan

Loan to cover university course fees for eligible resident students

... in Commonwealth supported places subsidised by the government (undergraduate)

Interest rate of the loan (indexation factor) is the cost of living (CPI)

FEE-HELP loan

Loan to cover university course fees for eligible resident students

... for non-government subsidised courses (usually post-graduate)

Interest rate of the loan (indexation factor) is the cost of living (CPI)

Loans are repaid automatically through the PAYG tax system

Up-front payment discount is no longer available

StudyAssist (2024), '[HELP loans](https://studyassist.gov.au)' at studyassist.gov.au

Australian Taxation Office (2024), '[Study and training loan indexation rates](https://ato.gov.au)' at ato.gov.au

Australian Taxation Office (2024), '[Study and training loan repayment thresholds and rates](https://ato.gov.au)' at ato.gov.au

Risk Pooling

Risk Pooling Thought Experiment

There are 10 houses in a street

They all worry about being burgled

... but let us assume that there is no insurance available

Each house has the same chance of being burgled

The expected amount stolen in a burglary is \$10,000

On average, 1 house is burgled per year

10% probability of being burgled each year

... with expected cost of $0.1 \times 10,000 = \$1,000$ per year

MEAT the alternatives

1. Mitigate

... add security systems, barred windows, remove automatic garage doors ...

2. Eliminate

... add fences and wire, high-security doors, dogs, security guards, laser defence systems!

3. Accept

... save some financial slack to allow for stolen property (self-insurance)

4. Transfer

... transfer or share the risk with others via risk-pooling

4. Transfer risk to others by ‘risk-pooling’

- 1. Every household puts \$1,000 into a central account each year**
- 2. They are required to take ‘reasonable’ actions to mitigate risk**
- 3. Any house burgled in any given year can claim from funds in the ‘pool’**
 - If there are no burglaries, then the pool is ‘rolled over’ into the following year
 - If there is not enough money for claims ... then bad luck!

And hope that the entire street doesn’t get robbed in the same night

... risk pooling tends to work better with the number of people involved!

Some comments from this thought experiment

It can be better to Transfer risk when ...

- 1. Impact of the event is high; AND**
- 2. Probability of event occurring is low; AND**
- 3. Premiums are reasonable given the impact and probability**

A 'premium' is the monthly payment you pay to the insurance company

Examples

Financial impact on your spouse and children if you die prematurely

Unexpected severe accident or illness that prevents you from working for 2+ years

Significant property damage from fire or flood

Property damage or injury to someone else in an at-fault motor vehicle accident

It can be better to Acept risk when ...

- 1. Impact of the event is small; OR**
- 2. Probability of event occurring is lower for you than average; OR**
- 3. You have saved a significant amount of financial slack**

Examples

Insuring against a 'scratched' console game disk

Extended warranty on many consumer appliances (possible exception is dishwashers)

Minor once-off health issues (such as physiotherapy)

Shared pain via a deductible

Insurance companies want you to behave in a 'low-risk' way

They make sure it 'costs you' if the event happens

You must pay a 'deductible' or 'excess' if the insured event occurs

Examples

You pay first \$500 of expenses if motor accident is your fault

You pay first \$1,000 of medical expenses for an elective surgery

Screening

Insurance companies don't want 'bad apples' in a risk-pool

Each person completes detailed application forms

If you are 'high probability' of experiencing 'event' they:

- 1. Won't provide you with insurance; OR**
- 2. Add an 'exclusion' clause to your policy; OR**
- 3. Charge a ridiculously high premium.**

Signalling

Applicants need to 'signal' they are low-risk and honest

Complete the detailed application forms accurately

If dishonest then:

- 1. They may still collect your premiums**
- 2. Your claim is rejected and no payout occurs**
- 3. You go onto a 'black list' and can't get insurance**

Experiencing a 'denied claim' is a very serious event

Insurance is not a 'discount club'

Some people treat insurance like a 'discount club'

'I only take insurance my expected payouts exceed expected premiums'

Risk pooling doesn't work this way:

- 1. You are high risk so excluded from risk pool**
- 2. How can a risk-pool work if everyone does this?**
- 3. Insurance is not just about 'the dollars' ... it's about peace of mind!**

Risk averse people will pay more than the 'fair premium' to transfer risk

Insurance premiums are part of slice 2

Save for peace of mind

Cash buffer, financial slack

Save to spend

Holiday, motor vehicle ...

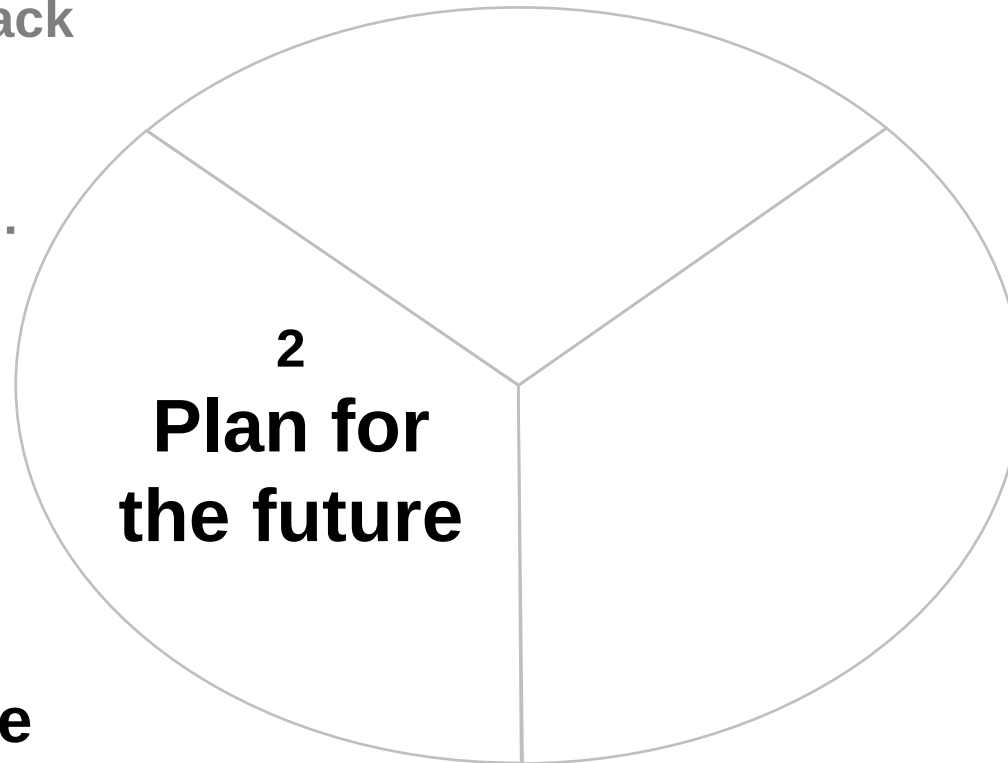
Save to invest

Property, shares,
Superannuation ...

Manage debt

Protect things you value

Insurance, wills ...



Life Insurance

How much is enough?

How much money would you want your family to receive if you died:

- 1. Today with no spouse or children and a \$20,000 car loan**
- 2. In 10 years with spouse, 2 dependent children and \$500,000 home loan**

Types of Life Insurance

1. **Death Cover** (term insurance)
2. **Total & Permanent Disability** (TPD)
3. **Income Protection** (salary continuance)
4. **Workers Compensation**
5. **Trauma Cover**
6. **Whole of Life**

1. Death Cover

Pays a lump sum amount when you die (eg \$1 million)

Also called 'Term insurance'

Used by family to pay-off debts and cover future living expenses

Cheapest way to get it is via superannuation account

Calculate based on needs:

Total debt – investments – superannuation + PV of replacement income

1. Death Cover example

John and Sarah are a couple aged 30 with 2 dependent children

They have a home loan of \$500,000

They each have \$100,000 in superannuation accounts

They have \$50,000 of other investments

If either die, they would need \$50,000 per year for 30 years (until age 60)

The real rate of return on investments is 5% per annum

1. Death Cover answer

John and Sarah are a couple aged 30 with 2 dependent children

They have a home loan of \$500,000

They each have \$100,000 in superannuation accounts

They have \$50,000 of other investments

If either die, they would need \$50,000 per year for 30 years (until age 60)

The real rate of return on investments is 5% per annum

$$\begin{aligned}\text{Cover} &= \text{Debt} - \text{Investments} - \text{Super} + C \times \left[\frac{1 - (1 + r)^{-n}}{r} \right] \\ &= 500,000 - 50,000 - 100,000 + 50,000 \times \left[\frac{1 - (1.05)^{-30}}{0.05} \right] \\ &= 1,118,623\end{aligned}$$

2. Total & Permanent Disability (TPD)

Pays a lump sum if you become very disabled

It is an 'add-on' when you take out death cover

Eg. \$1 million death cover + TPD cover

Used for same purpose as death cover

Proving death is easy with a 'death certificate' ... but

Proving totally and permanently disability is difficult

Long history of litigation against insurance companies for refusing to pay TPD claims!

Is it really needed if you have income protection?

3. Income Protection

Replaces up to 90% (first six months) **then 70%** (subsequent periods)
of your salary if you have accident or illness that prevents you from working

Also called 'Salary continuance' and 'Income Insurance'

Benefit waiting period between 14 and 90 days

You choose the waiting period when you apply for insurance

Payments don't start until X days after the accident

Longer the waiting period ... cheaper the premiums

Benefit period between 2 years and all the way to age 65

This is how long benefits are paid while you can't work

2 year period is cheapest ... until age 65 is most expensive

3. Income Protection (continued)

Watch out for definition of ‘can’t work’

is it own job, own occupation or any job for which you are qualified?

Best definition to get is ‘own job’ ... but it is more expensive

Premium payments can be claimed as tax deduction

But if you get sick and receive benefits ... they are taxed

Cheapest through your superannuation account

BUT you don’t get the tax deductions, and benefit period is normally limited to 2 years

You may lose your income protection if you change super funds

Significant changes to Income Protection benefits and tests

from October 2021 ... designed to make the system more sustainable

3. Income Protection Changes (October 2021)

Benefit calculation method

Evidence of income reduced from highest in last 3 years to current income (last 12 months).

Benefit calculation percentage

Benefits capped at 90% for first 6 months and maximum of 70% for subsequent periods.

Long benefit periods (such as to age 65) managed to maintain motivation to work (such as changing from 'own occupation' to 'any occupation' after 2 years on claim)

Contract terms

Now need to provide regular updates on occupation, income and pastimes.

Avenues to claim

Definitions related to disability are far more restrictive.

4. Workers Compensation NSW Australia

A type of basic 'income protection' paid by your employer

Covers you for accidents while at work (but not travelling to and from work)

All employees of companies are covered. Employer pays the premiums (required by law).

Safety-net for people without income protection or savings

Replaces income and pays some medical expenses

0 – 13 weeks:	Replaces 95% of previous income
14 – 130 weeks:	If able to work < 15 hours per week then replaces 80% of prev. income If able to work 15+ hours then replaces 95% minus current income
131 – 260 weeks:	If unable to work then payments cease If able to work then may be entitled to 80% minus current income
260+ weeks:	If impairment < 20% then payments cease If impairment >20% then 20% to 80% minus current income

5. Trauma

Pays a lump sum amount (eg \$100,000) when you suffer a serious medical condition (eg cancer, heart attack)

Relatively new – started to be offered in 1980's

Used for large medical bills, house renovation & care

Cannot purchase through superannuation.

Usually too expensive for young, healthy people!

Not usually offered to people with bad family history

Not usually necessary if you have good private health insurance, some savings and income protection!

6. Whole of Life

Generally not available in Australia anymore (thank goodness!)

A ‘bundled’ product with ‘savings’ and ‘death cover’

You receive a lump sum if you die

You receive a smaller lump sum at 65 if you don’t die

You have to pay \$X per month until you turn 65!!!

If you pull out before – lose a lot of benefits!

A very old product popular in the 1970’s

Brokers love them because they get big commissions \$\$\$

Very bad products and should be avoided at all cost!

Better to buy death cover and save into superannuation

Life Insurance Tips

1. When you are young and single

- 1. Save up 'financial slack' of at least \$10,000**
- 2. Accept the risk of small losses**
- 3. Consider choosing higher excesses to save on premiums**

This applies to home, motor vehicle, health and travel insurance.

Note that you don't normally have an 'excess' or 'copayment' for life insurance.

2. Income protection once you work full-time

Inside super

Premiums may be lower

Premiums not tax deductible

Benefit period limited to 2 years

Harder to access benefits

Benefits assessable for income tax

Lose it if you change super funds

Problem if you have pre-existing condition

Outside super

Premiums may be higher

Premiums are usually tax deductible

Benefit period up to age 65

Easier to access benefits

Benefits assessable for income tax

Unrelated to super funds

3. Singles and Couples with no children ...

Likely don't need death cover

... or maybe just enough to cover funeral expenses

4. Couples with children need death cover

Preferably as soon as you start trying to have children

... normally the absolute minimum would be \$500,000

5. TPD is a bit questionable

Your income protection would trigger

... and we now have Disability Support Pension as a safety net

... and also a Carer Payment (we didn't cover this one earlier)

6. Trauma isn't that useful in most cases

It only covers a payout for very serious illness

You won't be covered if you have a family history of that illness

The premiums are very expensive

In many cases, your income protection would trigger

... and/or you can use your financial slack (accept risk)

7. Beware of life-insurance brokers

They may try to sell you insurance you don't need

... such as those terrible 'Whole of Life' policies

Make an informed decision yourself and don't be over-sold.

8. Never lie to an insurance company

If you lie or omit relevant information on the application form

... or lie or omit relevant information when making a claim

... they have the right to refuse to pay the claim

... even though you have paid your premiums for 10+ years

... and you will now have a 'declined claim'

... which will make it difficult to get insurance with any company

Break

Discussion

A 'will' is a document that provides instructions about the distribution of your assets if you die.

Do you know whether your parents have a will in place?

Have they ever talked about it with you?

When do you think someone should have a will in place?

At what age? In what situation?

Estate Planning

John and Judy

John (26) marries Judy (25)

Judy's parents hate John and won't attend the wedding

John's Mum gives Judy a lot of family heirloom jewellery as a wedding gift

John's parents also buy them an apartment as a wedding gift (rich family!!!)

On their way to the honeymoon, John succumbs to driver fatigue and both John and Judy die in a car accident without a valid will.

What happens? ...

Dying intestate

Dying 'intestate' means you died without a valid will

It does not mean that you die in a different state!!!

There is no will so the probate division of the Supreme Court appoints an administrator

The administrator applies state laws for intestacy

The laws vary from state to state

John is deemed to have died first because he is older

It doesn't matter that they actually died at the same time!

John 'survived' by Judy so all assets go to her

This includes John's Mum's jewellery and their apartment

Dying intestate ... continued

Judy is younger and is deemed to have died second

She is 'single' since her husband has already died

She has no children and the only surviving family are her parents

All of Judy's assets are left to her parents

Including John's Mum's jewellery and the beachside unit

The administrator charges lots of legal fees for distributing the assets and lawyers charge lots of fees for contesting that distribution over the next year

John's parents lose family heirlooms and the apartment to Judy's horrible parents

Some cultures do not like to think about death

People do not write wills unless they expect to die soon.

This cultural norm is not helpful for estate planning.

Financial planners usually recommend that all adults have a valid will.

Especially if your assets exceed about \$10,000

Wills

What is a will?

Legal document with clear instructions about what will happen after you die

Who will receive your stuff (beneficiaries)

Real assets (cars, music, computers etc)

Financial assets (bank accounts and investments)

Until distributed, they are owned by 'The Estate of John Smith'

Who will be guardian of your children

Who will oversee the whole process (executor)

With adequate 'backup' clauses

... in case beneficiaries or executors die before you do (predecease you)

Why have a valid will?

**Banks and financial institutions don't just 'hand over' ownership
... of your stuff after you die!**

A will makes transferring title of your financial assets easier for your family

This is important since they will also be grieving

A will reduces the likelihood of family arguments

A good will reduces admin and legal costs

If you are married and don't have one

... then the laws of intestacy may end up screwing your family!

Who should have one?

All graduates of this course!

Single, over the age of 18 and have more than \$5,000 of assets

Living in a de facto relationship

Married

Note that marriage invalidates prior wills

People who are unselfish

... and actually care about what happens after they die!

What can't be covered in your will?

Any assets owned jointly with someone else

Title is automatically transferred to the surviving person

Most people purchase houses jointly with their spouse

... so full ownership will automatically transfer to the spouse

Assets that you do not directly own

Super is owned by a trust on your behalf

and so you cannot give instructions about it in your will.

Instead, nominate 'beneficiaries' on your super application form

Any assets held in a family trust

Death benefits from life insurance policies

Will Choices

Choosing distribution

Normally a bad idea to leave specific assets to people because you may not have them when you die or it may be unfair.

Better to say 50% of all assets to this person, 25% to another, 25% to another and let them decide what assets they want.

If the beneficiaries can't decide then there is an easy solution – Ebay everything and give people \$\$\$

Make sure there is an residual beneficiary in case everyone else is dead (eg. A charity)

Choosing beneficiaries

If single, usually leave 100% to either siblings or parents

If married, usually leave 100% to your spouse

However, need to also leave instructions for if your spouse or members of your family are dead

For example:

I leave 100% to my spouse,

If my spouse predeceases me then 100% to brother,

If my brother predeceases me then 100% to parents,

If my parents predecease me then 100% to Salvation Army charity.

Choosing an executor

Executor oversees the whole process of distributing assets in conjunction with a solicitor

Qualities of an executor:

- Someone who 'gives a stuff'

- Usually a close family member (parent or sibling)

- Good administration and follow-through skills

- Good interpersonal skills if there are family disagreements

If no one in your family qualifies:

- Can appoint your solicitor as executor (expensive)

Always appoint a backup executor in case they refuse!

Guardianship of children

Applicable if both you and your spouse die

Particularly important part of your will!

Need to consider their:

- Financial strength (including what your children will get from will)

- Ability to manage big family (their two children + two of yours!)

- Parenting philosophy (similar to yours)

- Religious views (similar to yours)

- Willingness to actually do it

Nominated guardians can refuse to do it

Usually best to ask permission before putting them in will to reduce likelihood of refusal

Signing the will

If incorrectly executed (signed) then it is invalid

You must sign the document

Your signature 'witnessed' by two people

Witnesses cannot be beneficiaries (eg your family!)

Preferably all to sign with the same pen

Best for all to initial each page of the will (if > 1 page)

Best to then take copies and provide to executor, beneficiaries, guardian and family solicitor (charges fees)

Will Tips

Will Tips

Keep it flexible for your beneficiaries.

Remember that your situation changes frequently and so try to keep your will fairly general so that it does not date quickly.

Try to draft your will so that it only needs updating once every 10 years or so.

Sign several copies and leave them with the executor and various family members.

Alternatives for preparing one

1. Will Kit (online or offline)

If single and you have few assets then probably best to use a 'Will Kit'

These used to be available from post offices and stationary shops.

Now most people complete them online using various legal websites.

Wills are governed by state legislation so you must use an Australian – NSW service.

If you make a single mistake ... it may be a completely useless document!

2. Solicitor (lawyer)

If you have more than \$10,000 in assets or you are married then it is better to get one drafted by a solicitor

Normally costs around \$400-\$700

Storage of Wills

Make certified copies (certified by Justice of Peace or Solicitor)

Provide a copy to the Executor

Attach a note that informs them where the original is kept

You can keep the original with your solicitor for a fee

Helping elderly parents or grandparents

Make sure they have a clear balance sheet of assets (and liabilities)

Include financial institutions, account name, account numbers and balances

Update it once per year

Encourage them to keep their finances simple if they are very old and frail

Write down their preferences:

- 1. Funeral arrangements**
- 2. Arrangements for surviving spouse if they die**
- 3. What to do if they have a chronic illness or cannot look after themselves**

Enduring Power of Attorney

A problem

What would you do if ...

all of your investments are in your spouse's name (income splitting)

they are hit by a bus and are in a coma

you need to access cash fast to pay for medical bills not covered by Medicare and to pay for living expenses while you are off work

you can't access any of the money because she can't sign anything!

What is Enduring Power of Attorney?

If married or aged, consider arranging Enduring Power of Attorney with the solicitor when drafting your will

'Power of Attorney' allows them to buy and sell your investments on while you are still 'mentally capable'.

Good for temporarily granting permission if you are overseas a lot and cannot sign documents.

'Enduring Power of Attorney' allows them to buy and sell investments even if you are mentally incapable

For example: if you are in a coma or are mentally ill

Good for couples in the event of an accident

Good for elderly people in risk of mental illness

Enduring Guardianship

Normal enduring power of attorney only handles assets

An Enduring Guardian authorises another person

to make decisions about your health and lifestyle

in the event that you cannot make these decisions yourself.

They can only be authorised when the person is of sound mind.

Best to prepare one with a solicitor.

Divorce

Binding Financial Agreements (BFA)

Prenuptial Agreements

Long-term relationships are difficult

Many people in this course will have experienced harm

... from relationship breakdown, divorce and domestic violence.

Divorce often adversely affects finances

Loss of income (or a reduction in the growth rate in future income)

- Long-term effects on mental health

- Increased care responsibilities for dependants

- Additional time spent on household chores and life admin

Increase in expenses

- Total expenses increase when one household becomes two households

- Additional care expenses for dependants

- Legal expenses associated with the divorce

Loss in assets and wealth

- Property settlement splits assets and liabilities according to equity.

... and obviously lots of non-financial effects too!

Divorce in Australia

Governed by Family Law Act 1975 (Commonwealth)

Applies to both married and de facto relationships

‘No-fault divorce’ ... court does not consider ‘why’ marriage ended, only:

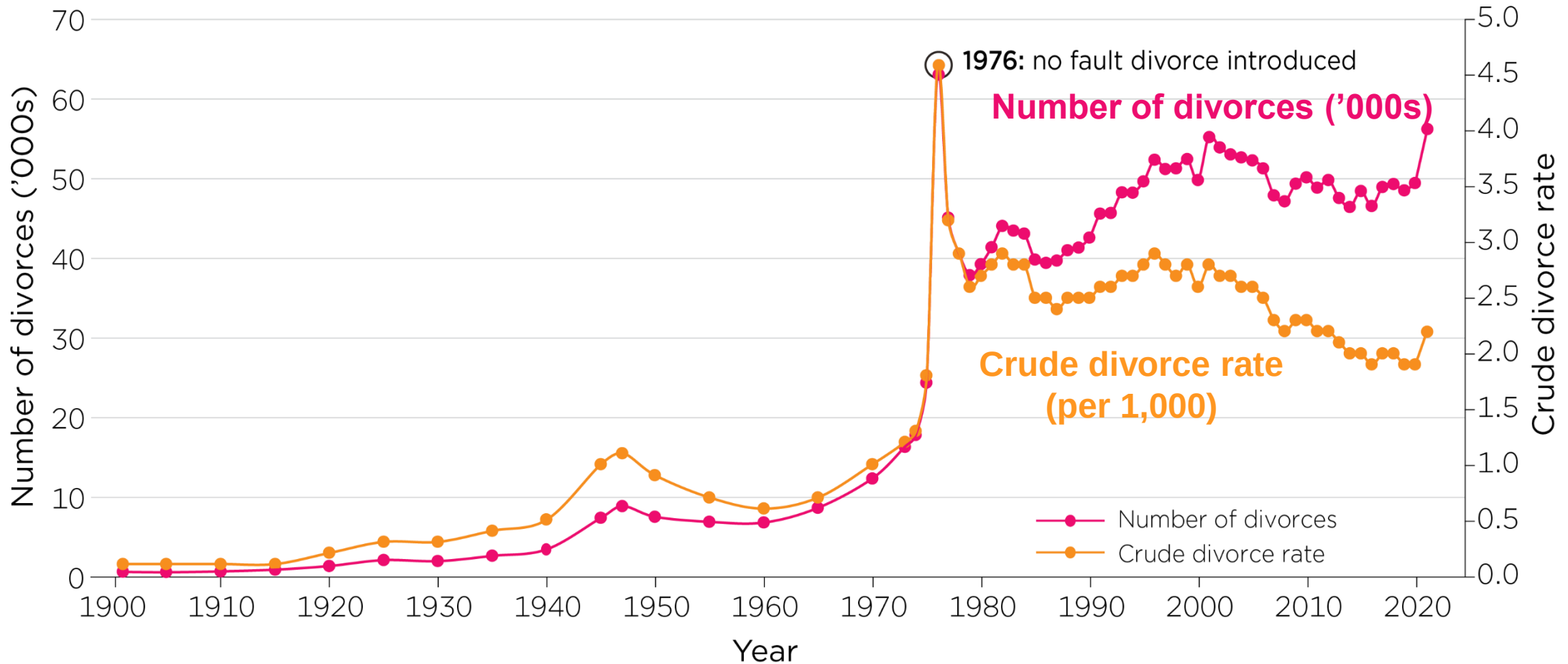
1. The marriage has broken down for a continuous period of 12+ months; and
2. There is no reasonable likelihood that the parties will get back together

‘Separation’ for 12 months is normally a prerequisite for divorce

It is possible to be ‘separated under one roof’

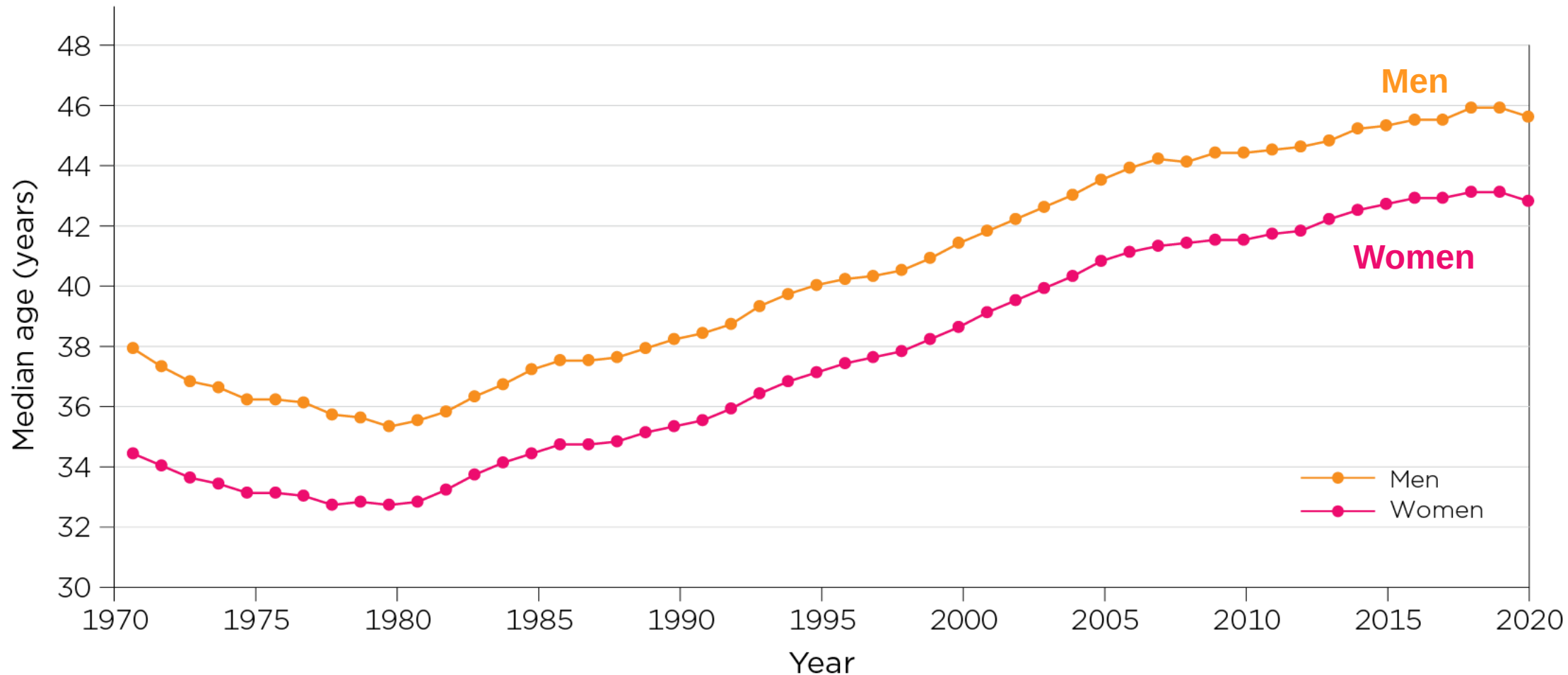
It is possible to apply for a shortening of the period

Divorce rates in Australia



Crude Divorce Rate = Number of divorces per 1,000 of estimated resident population at June for each reference year
Australian Instituted of Family Studies (2023) [Divorces in Australia – Facts and Figures 2023](https://aifs.gov.au/divorces-in-australia-facts-and-figures-2023) at aifs.gov.au

Divorce ages in Australia



Property settlement upon divorce

Property settlement and divorce are two different legal processes

Divorce is the legal termination of the marriage

Property settlement is the formal division of property following a couple separating

Australia is an 'equitable distribution country'

Wealth is not split evenly (50-50)

Process:

1. Value the assets (and liabilities)
2. Value the contributions of each party before, during and after relationship
3. Calculate future needs
4. Consider the practical effect of the property settlement

Most divisions are 55 to 65% in favour of economically weaker spouse

Binding Financial Agreements (BFA) also called prenuptial agreement

Governs your property interests in the event of a separation or divorce

Can apply to married or de facto relationships

Alters the normal avenue for division of property

Can help to build alignment around finances early in relationship

The agreement must be in writing and signed by both parties

Each party must enter into it of their own free will and be fully informed

Each party must receive independent legal advice

The cost of engaging a lawyer and drawing up BFA starts at ~\$3,000.

It can be significantly more expensive than this given that you each need separate lawyers!

Regular Relationship Counselling and Advice

... can be a good investment of both time and money!

Except for domestic violence

... which is never acceptable and usually separation is best.

Property Insurance

Home Insurance

Insures your home against calamities

Floods and wildfire are sometimes not covered

Does not cover the value of your land

For units – paid through strata manage fees

Most people underinsured by 30% plus

Amount should cover:

Demolition of damaged structure

Architects and council fees

Rebuild similar home (new)

Costs of temporary accommodation elsewhere

Generally, add 20% to cost of rebuilding.

Contents Insurance

**Protects the contents of your house (furniture)
against calamities and theft**

**You should keep receipts, photographs of items and an asset register to
provide evidence in case of a claim**

Watch out for under-insuring devices and clothes

Insuring jewellery is difficult

Focus on inward beauty instead!

Public liability included with contents

Other people suing you for negligence

Mortgage Insurance

Lender's Mortgage Insurance (LMI)

Protects the lender if you are borrowing more than 80% of the value of a property in case you can't make the payments.

Does not protect you! Bank will still foreclose.

Paid as lump-sum when you take out the loan

Mortgage Protection Insurance

Pays your mortgage if you have an accident or illness that prevents you from working.

Protects you.

Better to have proper income protection insurance!

Property Insurance Tips

1. **Don't underinsure!**
2. **Go home and ask your parents how much they are covered for home and contents insurance ...**
When did they last update those amounts?
Have they got an asset register with evidence of contents?
3. **Premiums not proportional to the amount being insured**
Sometimes double the cover only adds 10% to the premium
4. **Choose higher excesses if possible and save the excess into a special savings account**

Motor Vehicle Insurance

Third Party Personal Injury Insurance

Covers you against personal injury of anyone you hit/hurt while driving your car.

Compulsory Third Party (CTP) Insurance or Green Slip in Australia

Usually required when you renew registration each year

Purchase from insurance companies

Provides 'peace-of-mind' that at least your medical expenses will be covered if you are hit by another driver

Third Party Property Insurance

Protects you if you damage someone else's property

\$100,000 BMW or \$20,000 fence

\$500,000 in lost earnings for a shop façade

Watch out for 'driver substitution'

Take out insurance under parent's name as primary driver

But you are the one involved in the accident!

This is a necessary cost of running a car

if you can't afford it then don't buy the car in the first place

they ask about accidents, speeding fines and other driving history information
in your application

they check it when you make a claim

Comprehensive Insurance

Covers property damage to your car as well

Covered for 'agreed value' or 'market value'

Excess designed to deter small claims

Car required to be 'free of damage'

No claims bonus (discount) of up to 60%

Premiums are often priced to be unaffordable if you don't have maximum no-claims bonus (esp. young)

Premiums vary significantly by suburb and how garaged

Some insurers will offer you full no-claim bonus status if your parents are good customers (until you have accident!)

Motor Vehicle Insurance Tips

- 1. Consider buying very inexpensive, second-hand car after graduation and only take out 3rd party property insurance**
- 2. Don't ever speed or drive aggressively.**
- 3. Leave plenty of room before the car in front. Be patient!**
- 4. Can sometimes save if you have home and contents insurance with insurance company**
- 5. Never lie to an insurance company**

Health Insurance

Public health is good ... but

How long will universal healthcare remain sustainable?

New and expensive medical technology \$\$\$

Aging population that demands expensive treatment \$\$\$

Decreasing proportion of population paying taxes!

Medicare levy surcharge makes it cheaper to have health insurance

Federal Government's 30% rebate makes it cheaper

This rebate is substantially reduced if your income exceeds thresholds

See ATO '[Income thresholds and rates for private health insurance rebate](#)' for thresholds

Lifetime Health Cover makes joining more expensive after age 30

Private Health Insurance covers

Hospital cover

Medicare Gap - difference between what Medicare will cover and scheduled fees

Medical Gap - difference between scheduled fees and what the doctor charges (in selected hospitals only)

General extras

Dental, optical, physio ... expenses

Fund covers maximum of \$X per visit and \$Y per year

Ambulance costs

The costs of emergency transport by ambulance (expensive!)

Deductibles, excesses and co-payments

The part of any medical costs that you have to pay

Designed to discourage hypochondriac behaviour

Sometimes based on 'days' in hospital

Example: HCF is \$50 per day spent in hospital

Sometimes based on 'total per year'

Example: MBF is \$500 per year per person insured

The higher the deductible, excess or co-payment

... the lower the premiums!

Best to have 'savings buffer' and choose higher excess

But lower the excess 12 months before having a baby!

Health Insurance Tips

Remember that insurance is designed to protect you against worst-case scenarios

Most people lose on extras cover over the long term

Cheaper to have hospital cover only and save the difference

Research and consider each fund carefully

iselect.com.au provides some okay guidance (not great though)

Consider 'hospital only cover' with high excess

self-insure for general extras unless it is definitely worth it!

Always get ambulance cover

Travel Insurance

Travel Insurance

Covers medical expenses and theft when you are travelling overseas

Health-care overseas can be VERY expensive

Plus ... the experience can be a nightmare!

An absolute 'must-have' when travelling

Read all the terms and conditions carefully before leaving

Write down a procedure for what to do if you get very sick and keep it with your passport

Final Tips

- 1. Most people are under-insured and therefore are not protected against worst-case-scenarios**
- 2. This can cause significant hardship to your family**
- 3. Insurance is not a waste of money ...
it is part of your responsibility to plan for the future**
- 4. Don't get ripped off with high monthly premiums ... choose a higher excess if appropriate.**
- 5. If you are not adequately insured then your 5 minutes of fame may be a sob-story on a Current Affairs program!**
- 6. Never lie or omit relevant info on application forms**

Your Financial Plan

**Develop a strategy for protecting your finances and loved ones
... at each life stage.**

- 1. Key risks ... and how you plan to MEAT them**
- 2. Life insurance**
- 3. Health insurance**
- 4. General insurance**
- 5. Estate planning**

More information under 'Financial Plan Instructions' document

... on the course website under 'Financial Plan' section

Join us in a Drop-in Session

Each week we have a drop-in Q&A session on Zoom

Details are on the course website under ‘Getting Started Hub’

Bring along some questions that you have about the Unit.

Sessions are not recorded.

You are also welcome to ask questions on the ‘General Forums’